

monitoring institution for CDR on behalf of lenders. But Agarwal's alleged fraudulent activities continued unabated.

For instance, the company extended ₹64 crore to a loss-making Mahavir Distributor Private Ltd (MDPL), which was listed as a vendor of the company, in April 2014. This vendor was also closely connected with the ABG Group. Documents accessed by *BT* show that promoter Rajesh Wairkar, who owned 53 per cent stake in MDPL in 2014-15, was also an additional director of ABG Energy Ltd. In fact, the two promoters (the other being Vishal Sakaal) exited the company the very next year. In 2015-16, the company's shareholding showed three new promoters—Dhananjay Datar, K.G. Toshniwal and Ashok Agarwal—with 33.33 per cent stake each. Datar was actually the CFO of ABG Shipyard, working directly under

Rishi Agarwal. In addition, MDPL also operated from the same building—Shree Pant Bhuvan—and also the same second floor where other ABG Group companies such as ABG Capital, ABG Power and others were housed (*See The Modus Operandi*).

Despite debt restructuring, the company's losses piled up as its Dahej shipyard was completely shut from June 2015 because of non-payment of contractors' dues, while the Surat shipyard was partially operational. In 2015-16, the company's revenues crashed to a low of ₹37.76 crore, and losses widened to ₹3,704 crore. By July 2016, the banks declared the loan restructuring as a failed exercise. As a result, ABG Shipyard's account became an NPA in the books of the banks, backdated to November 2013.

Agarwal was well aware that the banks would soon invoke bankruptcy proceedings against the

company under the new Insolvency and Bankruptcy Code (IBC), which was in the works. It was clear that the company would be either sold to a new promoter or liquidated. In August 2017, the company was part of the dirty dozen (12 big NPAs which included Essar, Bhushan, Jaypee and Amtek, among others) identified by the RBI for bankruptcy proceedings. The lead bank, ICICI Bank, filed an application under the IBC with total claims to the tune of ₹27,400 crore due to banks, the government, employees and operational creditors.

The private sector bank, which invoked the bankruptcy proceedings, noticed certain transactions that were preferential in nature, undervalued in the books, or fraudulently carried out by the company. Between September 2015 and March 2016, the company transferred ₹199.66 crore to share trading company Banal Investments and Trading Ltd, a part of the ABG



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